Republic of Examplia: Value Added Tax Regulation No. 7 of 2025

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Article 1: Definitions

"Taxable supply" means any supply of goods or services made in Examplia in the course of business. "Taxable person" means any person who is registered or required to register under Article 4. "Tax period" means the period for which a VAT return is filed.

Article 2: Standard Rate

Value Added Tax is charged at the standard rate of 15 percent on the value of every taxable supply, unless Article 3 applies.

Article 3: Zero-Rated and Exempt Supplies

The following supplies are zero-rated (taxed at 0 percent, with input tax recoverable): exports of goods outside Examplia, international transport of passengers, and supplies of qualifying medicines.

The following supplies are exempt (no VAT charged and no input tax recovery): residential rent, life insurance, and margin-based financial services.

Article 4: Registration

Registration is mandatory for any person whose taxable supplies in the previous 12 months, or expected in the next 12 months, exceed EXD 375,000. Voluntary registration is permitted where taxable supplies or expenses exceed EXD 187,500. A person must apply within 30 days of exceeding the mandatory threshold.

Article 5: Filing and Payment

Taxable persons with annual taxable supplies above EXD 40 million file monthly returns. All other taxable persons file quarterly. The return and payment are due no later than the last day of the month following the end of the tax period.

Article 6: Penalties

Failure to register on time: a fine of EXD 10,000. Late filing of a return: a fine of between 5 percent and 25 percent of the tax due. Late payment: 5 percent of the unpaid tax for each month or part of a month of delay.

Article 7: Record Keeping

Taxable persons must keep invoices, books and records for at least 6 years from the end of the tax period to which they relate.